Center for Undergraduate Research Opportunities
UNIVERSITY OF GEORGIA

The Role of WTO Dispute Resolutions in Shaping Political Leadership and Governance in Brazil

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Introduction/Existing Research

Research Question: *How does WTO trade dispute resolution influence political leadership and governance in emerging economies?*

Pre-1900: Protectionism: Brazil implemented protectionist policies to promote domestic industrialization. Limited Trade: Focused on agricultural exports with restricted imports.

Perspectives in Literature: Busch and Reinhardt analyze disparities in WTO dispute use, where developed countries dominate due to legal capacity and economic leverage. Brazil's cotton dispute success proves emerging economies can challenge this imbalance through strategic action by building trade litigation capacity.

Figure 1: The Marrakesh Agreement (1995) *Source*: WTO

WTO Membership (1995): Brazil joined the World Trade Organization, committing to open trade and reduced barriers.

Main case study explained simply: The Brazil–U.S. Cotton Dispute (DS267) began in 2002 when Brazil challenged U.S. cotton subsidies at the World Trade Organization (WTO), arguing they violated WTO rules by distorting global cotton prices and harming Brazilian farmers47. The WTO ruled in Brazil's favor in 2004 and again in 2009, authorizing Brazil to impose retaliatory tariffs on U.S. goods14. In 2014, the U.S. and Brazil reached a settlement where the U.S. paid $300 million to the Brazil Cotton Institute, and Brazil dropped its WTO case and agreed not to pursue further actions

Methods and Variables examined

Qualitative Comparative Case Study Framework: analyzes and contrasts multiple cases to identify patterns, relationships, and outcomes. The research comparing Brazil's WTO disputes—such as DS267 (Cotton) and DS266 (Sugar)— to foreign policy impact (Response). Other Quantitative Research were mainly done to reinforce my original claim.

Explanatory Variables: [1,2,3] Years of involvement (2002-2014), (2005-2020), (1960-2023)
Response Variables: [1] Leadership positions held (2) Approval Ratings of Executive body (3) Number of Dispute Resolution Cases, [4] GDP in Billions (USD Conversion)

Data

Table 1: Brazil's Key WTO Disputes and Political Outcomes

Case	Domestic Impact	Foreign Policy Impact	Governance Lessons
DS267	CAMEX empowered, Lula and approval surged	Cemented Brazil as G20 leader in WTO	Retaliation as leverage works
DS266	Agro-industry policy coordination	Forced EU subsidy reforms (2017)	Replicable WTO litigation strategy
DS70	Protected Embraer (economic sovereignty)	Assertive stance in later disputes	Industrial policy alignment with WTO rules
DS579	Tests current leadership under Bolsonaro	Challenges India rising power status	Modernizing Brazil in WTO playbook

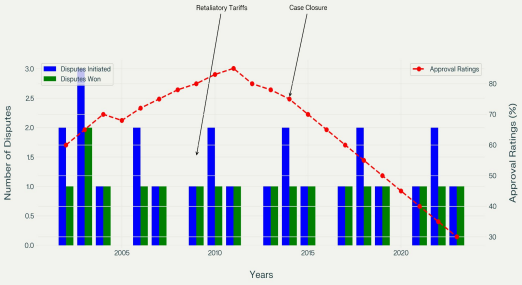
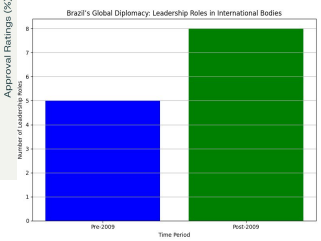


Figure 3:WTO Dispute Outcomes (2002–2023) *Source*: Author

*Figure is heavily focused on the Brazil cotton dispute that lasted north of a decade

Table 2 is showing an increase in leadership roles post-2009.



Ongoing Analysis/Applications

Current Answer to Research: Brazil's active use of WTO mechanisms, such as in the U.S.–Brazil Cotton Dispute (DS267), led to increased leverage in global trade. For example, retaliatory tariffs authorized by the WTO in 2009 helped Brazil protect its agricultural sector while boosting exports in key commodities

My theory is that Brazil's active participation allowed it to impose retaliatory tariffs authorized by the WTO, protecting its agricultural sector and boosting exports of key commodities like soybeans and beef. Essentially joining the WTO was a catalyst for its economic improvement on the international stage. As research is continued, it would be wise to look at what this means for other sectors in Brazil's economy. Perhaps, it would be notable to forecast what future trade disputes would look like/ what Countries like brazil would look like if they follow the same method.

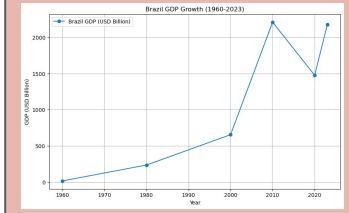


Figure 4:Real GDP of Brazil 1960-2023 *Source*: Author WTO/World Bank Database

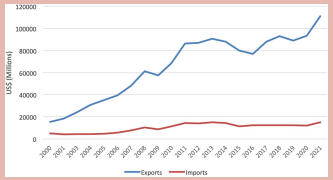



Figure 2: Brazil's Timeline of imports and exports in Agriculture *source:* Schofer/WTO database/Authors own input